

AA015 TRIAL PSPM 2022/23

QUESTION 1 [20 marks]

- (a) The balance between cash book and bank statement in September 2022 for Coop Mart Enterprise are different which are shown at below

Cash Book (Bank)

Date	Particulars	RM	Date	Particulars	Cheque No	RM
2022			2022			
Sept 1	Rental	9,000	Sept 1	Balance b/f		3,350
14	Sales	25,560	2	CVL Maju Jaya	554680	3,136
22	Jameela	676	4	Len Ong Enterprise	554681	1,080
25	JK Sdn Bhd	3,074	5	Setara Jadi Sdn Bhd	554682	2,510
26	KMJ Trading	4,008	6	Kedai Ekonomi	554683	2,416
28	UJ Sdn Bhd	3,578	7	KKfoodstuffs	554684	650
			12	Double Scoops	554685	360
			17	Layanan Shoper	554686	1,908
			22	Purchase	554687	5,092
			30	Balance c/f		25,394
		45,896				45,896

Bank Statement

Date	Particulars	Cheque No	Debit RM	Credit RM	Balance RM
2022					
Sept 1	Balance b/f				(738)
7		554681	1,080		(1,818)
8	Commission			5,310	3,492
11		554679	1,752		1,740
14	Insurance(Auto debit)		1,600		140
16	Bank charge		50		90
18		554685	360		(270)
20		554678	860		(1,130)
20		554683	2,416		(3,546)
22		554684	650		(4,196)
24	Deposit			25,560	21,364
25		554687	5,092		16,272
26	Deposit			4,008	20,280
27		554680	3,316		16,964
30	Deposit			676	17,640

Additional information :

1. All record in the bank statement are correct.
- 2.

REQUIRED :

- a) Prepared the Bank Reconciliation statement as at 30 September 2022.
- b) Prepared adjusting entries on 30 September 2022.

(b) The following information of Lavender Enterprise for the year ended 2021.

	RM
Credit sales	72,000
Sales return	1,500
Sales discount	500
Total cash sales	1,600
Cost of goods sold	54,000
Total operating expenses excluding bad debt expenses	5,000
Balance c/f accounts receivable	38,000
Bad debt written-off	200
Bad debt recovered	1,000
Balance b/f of Allowance for Doubtful Accounts	3,000
The rate of provision for doubtful accounts	5% on net credit sales

REQUIRED:

- (i) Calculate the bad debt expenses for the year using allowance method percentage on net credit sales.
- (ii) Prepare the journal entries to record the transactions that occurred during the year.
- (iii) Prepare Allowance for Doubtful Accounts for the year.
- (iv) Prepare a Statement of Profit or Loss for the year ended 31 December 2021.
- (v) Show an extract of Statement of Financial Position as at 31 December 2021 in relation to Account Receivable presentation.

QUESTION 2 [20 marks]

JJ Enterprise shows the following transactions for the month of June 2022.

Date	Description	Quantity <i>i</i>	Cost/Selling Price RM
June 1	Beginning inventory	10	30
5	Purchase	100	31
8	Sale	70	50
10	Purchase	110	32
16	Sale	120	50
25	Sale	15	50

Required:

- i) Based on **perpetual** inventory system, determine the company's ending inventory cost and cost of goods sold using **Last-In-First-Out valuation method**.
- ii) Based on (i), prepare the journal to record the transaction on 16 June 2022.
- iii) Based on **periodic** inventory system, determine the company's ending inventory cost using **First-In-First-Out valuation method**.

QUESTION 3 [20 marks]

- A. A vehicle was purchased on 16 March 2021 for RM 75,000. It had a useful life of 5 years and a residual value of RM 5,000. If the straight-line method and monthly basis is used.

Required :

- i. Determine the depreciation expense for vehicle at 31 December 2021.
- ii. Prepare journal entry to record depreciation expense. (omit explanation)

- B. On 15 July 2021, an equipment purchased on 1 April 2018 priced at RM40,000 was sold at RM30,000. Depreciation expense was calculated at 10% from book value using yearly basis.

Required :

Prepare journal entry to record the disposal of equipment.(omit explanation)

- C. On 31 December 2020, Kiara Sdn. Bhd. (KSB) indicates information regarding the assets as follows:

Fixed Asset	Cost (RM)	Accumulated Depreciation (RM)	Depreciation Method
Machines	200,000	80,000	Straight Line (10%)

Depreciation expense recognized in the month of purchase and no depreciation expense in the month of disposal.

KSB trade-in an old machine with a new one on 1 September, 2021. The old machine had a cost of RM 45,000 and was purchased on 1 February 2019. The price of the new machine is RM40,000 and the trade-in allowance amounted to RM 25,000.

Required :

- i. Prepare journal entry to record trade-in of machine.(omit explanation)
- ii. Show the extract of Statement of Financial Position as at 31 December 2021.

QUESTION 4 [25 marks]

-) Below are several transactions made by Northgold Sdn Bhd for the 31 Disember year ended 31 December 2021.

On 25 March 2021, Northgold Sdn Bhd sold merchandise with a 1-year warranty of RM12,500. The company estimated 3% of the sale might be returned by customers for repair.

On 1 September 2021, Northgold Company bought a vehicle for RM120,000; paid cash of RM12,000 and signed a 5-year, 4% note for the balance from a bank. Northgold Company was required to pay for the note and its interest every 6 months starting from 1 March 2022.

On 22 October 2021, Northgold Sdn Bhd paid RM300 for repairing the merchandise sold under warranty.

Additional information:

- i. Interest is charged on the current balance of the note.
- ii. Note payable would be paid twice per year for five years with the same amount.
- iii. Accounting period ends on 31 December.

Required:

- a) Prepare the journal entries to record all transactions above.
[5.5 marks]
- b) Prepare an adjusting entry on 31 December 2021.
[2 marks]
- c) Prepare the Statement of Financial Position (liabilities section) as at 31 December 2021.
[4 marks]
- d) Prepare the journal entry to record the payment related to notes payable on 1 March 2022.
[3.5 marks]
- e) Prepare the journal entry to record payment of notes payable and interest on 1 September 2022.
[3 marks]

- (b) (i) On 1 April 2020, Susan started a wedding planner service business named Susan's Events Enterprise. She invested RM200,000 to purchase all necessary equipment including paying a 3-month deposit for display space and office. During the 1st year, Susan's Events Enterprise generated RM330,000 of net profit while her drawings throughout the year were RM120,000.

During 2021, Susan invested more cash in the business amounted RM150,000. At the end of the year the net profit was reported at RM350,000 and Susan's drawings account shows a balance of RM110,000.

Required:

Prepare Statement of Changes in Equity for Susan's Events Enterprise for the year ended 31 December 2021. (4 marks)

- (ii) The following is a Comparative Statement of Financial Position for the years 2020 and 2021

MAISON COMPANY
Comparative Statement of Financial Position
December 31,

<u>Assets</u>	<u>2021(RM)</u> ('000)	<u>2020(RM)</u> ('000)
Cash	30,000	45,000
Short-term investments	10,000	25,000
Accounts Receivable (net)	60,000	40,000
Inventory	50,000	50,000
Property, Plant, and Equipment (net)	<u>200,000</u>	<u>160,000</u>
Total assets	<u>350,000</u>	<u>320,000</u>
<u>Liabilities and Shareholders' Equity</u>		
Accounts Payable	10,000	30,000
Short-term Notes Payable	40,000	35,000
Bonds Payable	20,000	20,000
Common Shares	140,000	120,000
Preference Shares	80,000	80,000
Retained Earnings	<u>60,000</u>	<u>35,000</u>
Total Liabilities and Shareholders' Equity	<u>350,000</u>	<u>320,000</u>

3

Net income for the year 2021 was RM27,000,000.

Required:

Prepare Statement of Changes in Equity for the year ended 31 December 2021: (9 marks)